

Liabilities to Assets Ratio

This ratio indicates the total borrowings used to finance the company, and the extent to which these external liabilities finances the assets of a company. Liabilities in this context include both current and long term liabilities. Assets include all assets excluding intangibles, such as deferred revenue expenditure (preliminary expenses, goodwill, deferred advertising expenditure and the like). The ratio is calculated by dividing total liabilities by the total assets:

$$\text{Liabilities to assets ratio} = \frac{\text{Total liabilities}}{\text{Total assets}}$$

Illustration

The Balance Sheet of SWW Ltd at 31 March is detailed below:

	<i>Rs. (lakh)</i>
<i>Sources of Funds</i>	
Shareholders' Funds	100
Debentures	50
Current Liabilities	200
	----- 350 -----
<i>Application of Funds</i>	
Fixed Assets	80
Investments	40
Preliminary expenses	10
Current Assets	220
	----- 350 -----

The liabilities to assets ratio would be:

$$\frac{50 + 200}{350 - 10} = 0.74$$

This means that 74% of the assets of the company were financed by liabilities. Conversely, it can also be said that assets sold at even 74% of their book value would meet and extinguish the company's liability commitments.